SENATE BILL 1009
By Oliver

HOUSE BILL 1364

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AN ACT to amend Tennessee Code Annotated, Title 4; Title 9; Title 50 and Title 67, relative to relief for small businesses.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 4, Chapter 3, Part 7, is amended by adding the following as a new section:

4-3-722.

(a) There is created a fund within the state treasury to be known as the small business recovery grant fund, to be administered by the department of economic and community development.

(b) The fund consists of:

(1) Funds appropriated by the general assembly; and

(2) Gifts, grants, and other donations received by the department for the fund.

(c) Moneys deposited in the fund must be invested for the benefit of the fund pursuant to § 9-4-603.

(d) Moneys in the fund must not revert to the general fund but must remain available to be used by the department exclusively for the purposes specified in subsection (f).

(e) The commissioner of economic and community development may promulgate rules in accordance with the Uniform Administrative Procedures Act, compiled in chapter 5 of this title, to implement this section.

(f) Moneys in the fund must be used to assist eligible small businesses with eligible costs incurred in responding to, or recovering from, extenuating circumstances. Grants made from the fund must cover eligible costs incurred during any one (1) period of three (3) consecutive months, but no more than six (6) consecutive months.

(g) Grants to assist eligible businesses must be made only to nonprofit organizations, local governments or to their economic development organizations, or other political subdivisions of the state. Grants from the fund may be made in all counties where the commissioner of economic and community development determines that the grants will have a direct impact on assisting eligible small businesses that operate as independent arts or cultural organizations or in the hospitality industry.

(h) An eligible small business shall submit a complete application in a form and manner prescribed by the department. The department shall establish the procedures and time period for eligible small businesses to submit applications to the program.

(i) Beginning January 1, 2026, and on or before January 1 of each year, the department shall submit to the chair of the finance, ways and means committee of the senate and the chair of the committee in the house of representatives having jurisdiction over matters related to public funds a report stating the amount expended from the fund in the past year, the purposes for which the money was expended, and the amount remaining in the fund.

(j) As used in this section:

(1) "Eligible costs" means costs incurred by an eligible small business that are attributable to extenuating circumstances, including payroll costs, costs of commercial rent or mortgage, insurance costs, utility costs, and costs to repair or replace landscaping, parking spaces, or other real property or improvements to real property owned by the eligible small business;

(2) "Eligible small business" means an independent, for-profit entity that:

(A) Engages in business with the public;

(B) Is primarily owned and operated by two (2) or more natural persons;

(C) Maintains a single physical business location in this state;

(D) Is not owned as a corporation or sole proprietorship or by an independent contractor;

(E) Demonstrates, as determined by the department, that it has sustained a substantial decline in gross revenue, substantial business modifications, or a substantial disruption to its operations due to extenuating circumstances;

(F) Has total gross receipts of not more than one million dollars ($1,000,000) averaged over a three-year period; and

(G) Employs no more than fifteen (15) persons on a full-time basis; and

(3) "Extenuating circumstance":

(A) Means an unforeseeable event that is outside the control of the eligible small business;

(B) Includes:

(i) An unforeseeable violent act by a third party or patron, such as a shooting occurring at the business; and

(ii) Construction activities at or near an adjacent or adjoining property that disrupts or causes a decline in foot traffic to the business, including blocked roads, parking lots, and other encroachments attributable to such construction activities; and

(C) Does not include an event for which the president or the governor declares a state of emergency or disaster declaration pursuant to federal or state law, or the COVID-19 pandemic.

SECTION 2. For purposes of promulgating forms or rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2025, the public welfare requiring it.